D02 · S&OP; / IBP Governance

01 · S&OP; process design & the 5-step model

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1 WHAT IT IS

S&OP process design structures the monthly cadence into the canonical five steps — data gathering, demand review, supply review, pre-S&OP reconciliation, and executive S&OP — so the process ends in a single owned decision that commits demand, supply, and finance to one number, not in a meeting that reviews forecasts and adjourns.

2 WHY IT MATTERS

Thomé et al. 2012 **(Thomé et al., 2012 — peer-reviewed)**, synthesizing the S&OP research base, found that the value of S&OP comes from cross-functional integration and a closed decision loop, not from the forecast review itself. When the process is run as a demand-consensus meeting with no supply-balancing step and no executive commitment, each function leaves with its own plan and the organization runs on the unreconciled sum. The cost is silent: demand promises volume operations cannot build, finance budgets a number neither owns, and the gap surfaces only as expedites, shortages, and missed quarters — typically **a 5–15% plan-to-actual gap** that no single function is accountable for.

3 HOW IT IS DONE

1. **Step 1 — Data gathering.** Refresh the statistical forecast, actuals, and open orders before any meeting. The cycle starts with a clean baseline, not with opinions; if the data is assembled in the room, the review becomes a debate about numbers instead of a decision about the business.
2. **Step 2 — Demand review.** Reconcile statistical, sales, and marketing inputs into one unconstrained demand plan with documented assumptions. The output is a single demand number the organization will be held to — not three competing views carried forward.
3. **Step 3 — Supply review.** Test the demand plan against capacity, materials, and inventory. This is the step skipped most often and the one that turns a forecast review into S&OP — without it, the plan is a wish, not a commitment.
4. **Step 4 — Pre-S&OP reconciliation.** Resolve the demand-supply gaps that can be resolved at the working level, and package the ones that cannot — with options and a recommendation — for the executive step. Pre-S&OP exists to ensure executives decide, not discover.
5. **Step 5 — Executive S&OP.** Leadership decides the unresolved trade-offs and commits one plan across demand, supply, and finance. The meeting ends with owned decisions and a single number — if it ends with "let us take that offline," the process failed.
6. **Close the loop and measure adherence.** Publish the committed plan, track plan-to-actual by function, and feed deviations back into next cycle. An S&OP process that never measures whether last month's decision held is a calendar event, not a control system.

> **WORKED EXAMPLE — ILLUSTRATIVE**
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> A mid-market manufacturer ran a single monthly "forecast meeting" — **baseline: no supply-balancing step, plan-to-actual gap 14%, 11% of SKUs in expedite each month, executives re-deciding the same issues**. It implemented the five steps with a supply review and an executive commitment gate. Results: **plan-to-actual gap 14% -> 6%, expedited SKUs 11% -> 5%, and executive meeting time cut 40%** because pre-S&OP resolved the resolvable before the room — the decision loop, not the forecast, was the fix.

IN PRACTICE

Fixed monthly cadence with a hard calendar

Lock the five steps to fixed dates every month, with data cut-offs enforced. The discipline of an unmovable cadence is what lets every function prepare and what prevents the cycle from collapsing into a single rushed meeting. Cadence is the cheapest maturity lever available.

Decisions packaged for the executive step

Pre-S&OP must hand executives a tight set of unresolved trade-offs, each with options, financial impact, and a recommendation. Executives should ratify or choose — never reconstruct the analysis. The quality of pre-S&OP determines whether the executive meeting takes 30 minutes or three hours.

Clear ownership per step

Each step has a named owner accountable for its output: demand planning owns the demand review, supply/operations owns the supply review, and a dedicated S&OP lead owns the reconciliation. Diffuse ownership is why processes drift back into forecast meetings.

Plan-to-actual feedback

Every cycle reviews how last cycle's committed plan performed, by function. Without this, the process never learns and the same gaps recur. Plan adherence is the single most diagnostic metric of S&OP health — it measures whether decisions actually held.

WHAT YOU WOULD USE

S&OP / IBP PROCESS PLATFORMS

SAP IBP / o9 — enterprise tier-1 — Purpose-built S&OP/IBP with the five-step workflow, role-based collaboration, and a unified demand-supply-finance data model. **(SAP, o9 — vendor)** The choice when the process must orchestrate many functions on one plan and one number.

Kinaxis / Blue Yonder — Strong integrated planning with concurrent demand-supply balancing and scenario support. **(Kinaxis, Blue Yonder — vendor)** Particularly effective where the supply-balancing step needs fast re-planning across the network.

Dedicated S&OP collaboration tools — Focused S&OP workflow and meeting-management tools that sit on top of an existing APS/ERP. **(specialized vendors — vendor)** The vertical option when the gap is process orchestration, not planning math.

For operations that don't need a platform — A disciplined five-step calendar, a shared demand-supply-finance workbook, and a standing decision log. Most of the value of S&OP is process discipline, not tooling — a well-run spreadsheet cadence beats an expensive platform with no supply-balancing step.

4 SO WHAT

Operations that run the full five-step loop end the month with one committed number every function is held to; operations that run a forecast meeting end it with three plans and no owner. The most common S&OP failure is not a bad forecast — it is a process that reviews demand, never balances supply, and never forces a decision. The plan-to-actual gap is simply the price of a loop that was never closed.

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